

JDI – Asymmetric Toll of the Canada – U.S. Trade War: Who Pays the Price?

Few economic tools are as powerful – or as politically charged – as tariffs. As taxes on imports, tariffs can alter trade flows, government revenues, and inflation while disrupting supply chains and economic growth. Amid escalating trade tensions, the United States has announced sweeping tariffs on Canadian steel, aluminum, and other imports, prompting a retaliatory response from Canada. Framed by President Donald Trump as a necessary defense of national interest, these measures impose asymmetric economic consequences—disproportionately harming Canada while leaving the U.S. largely unscathed.

Since Donald Trump’s inauguration, protectionist trade policies have been a hallmark of his administration. Now, the U.S. has announced 25% tariffs on all foreign steel and aluminum, with a lower 10% tariff on Canadian energy resources. Justified under the International Emergency Economic Powers Act (IEEPA), these measures are purportedly aimed at addressing illegal immigration and drug trafficking—though they also conveniently target what Trump views as an unfavorable trade deficit with Canada.

For Canada, the stakes are immense. Trade comprises approximately 67% of Canada’s GDP, compared to just 24% for the U.S. Canada also relies heavily on its southern neighbor, with nearly 80% of its exports heading to the U.S., while only 17.2% of U.S. exports come to Canada. Given this imbalance, retaliatory tariffs—such as Canada’s 25% levy on \$155 billion in U.S. goods—risk hitting Canadian consumers harder than their American counterparts.

At the heart of this trade war is the question: who actually pays for these tariffs? The answer lies in the concept of pass-through—the extent to which businesses adjust their pricing in response to increased costs. There are two key types of pass-through:

1. **Direct pass-through:** When businesses immediately increase the price of goods to reflect the new tariff cost, directly affecting consumers.
2. **Indirect pass-through:** When firms absorb some of the increased costs, leading to lower profit margins, reduced wages, or cuts in investment.

Tariff pass-through depends on the availability of substitutes. If Canadian consumers can easily switch to non-tariffed alternatives, price increases will be minimal. However, for essential goods with few substitutes—such as food imports—tariffs are almost fully passed on to consumers, driving up costs. This effect is particularly concerning given that 13% of Canada’s Consumer Price Index (CPI) basket consists of U.S. imports.

With tariffs raising the cost of imports, inflation is the natural consequence. The Bank of Canada notes that tariffs create a one-time permanent increase in price levels, though the degree to which this leads to sustained inflation depends on household and business expectations. If businesses assume higher prices are temporary, inflationary pressure will remain contained. However, if they adjust wages and pricing expectations upward, Canada risks prolonged CPI inflation.

Compounding the impact of U.S. tariffs, Canada’s retaliatory response will further burden its own economy by increasing costs on U.S. machinery, equipment, and consumer goods. U.S.

imports account for half of Canadian business investment in machinery and equipment, meaning that increased costs will lower productivity, reduce investment, and ultimately suppress long-term GDP growth.

While U.S. consumers will feel some effects of rising import costs, the American economy is better positioned to absorb the shock. The strength of the U.S. dollar provides a buffer, and the larger, more diversified American economy relies less on Canadian imports than vice versa. As a result:

- The U.S. can more easily substitute away from Canadian exports, reducing demand for Canadian goods.
- U.S. businesses importing intermediate inputs may face higher costs, but many can pivot to domestic suppliers.
- American inflation will rise, but the broader economic impact will be relatively contained.

For Canada, however, the effects are more severe:

- A decline in exports to the U.S. will lead to layoffs, lower household incomes, and reduced business investment.
- The depreciation of the Canadian dollar will further increase import costs, exacerbating inflation.
- Reduced investment in machinery and equipment will erode productivity and result in a permanent decline in GDP.

In fact, CTV analysis suggests that the economic impact of a dollar-for-dollar trade war could be five times worse for Canada than for the U.S. Food prices, which have already outpaced inflation, are expected to surge even higher due to Canada's reliance on American agricultural imports, particularly in winter months.

As both countries move forward with their respective tariff strategies, the broader question remains: can Canada afford to retaliate? While standing firm against U.S. trade aggression is politically necessary, the economic reality is stark—Canada's economy is not equipped for a prolonged trade war. Policymakers must weigh the costs of protectionist countermeasures against the long-term harm of weakened trade relations.

Ultimately, this trade dispute underscores the asymmetrical nature of the Canada-U.S. economic relationship. While tariffs may serve as a geopolitical tool, their real-world consequences will be disproportionately felt by Canadian consumers and businesses. Without strategic policy intervention, this trade war risks leaving Canada economically weaker while the U.S. largely shrugs it off.